

Northwind Traders Business FAQ

Comprehensive Knowledge Base (85 QA Pairs for RAG Ingestion)

This document contains formal operational questions and verified authoritative answers regarding corporate structure, database schema, sales policies, shipping logistics, and business intelligence metrics.

Q1: What is Northwind Traders?

Answer: Northwind Traders is an international specialty food and beverage wholesale distribution enterprise.

Q2: When was Northwind Traders founded?

Answer: Northwind Traders was founded in 1994.

Q3: Where is Northwind Traders headquartered?

Answer: The global headquarters is located in Seattle, Washington, USA.

Q4: What is Northwind's primary business model?

Answer: Northwind operates primarily on a business-to-business (B2B) wholesale model selling specialty culinary products to retailers, grocers, and restaurants.

Q5: What is the core mission of Northwind Traders?

Answer: To bridge regional specialty food producers with international markets by offering seamless global distribution and premium quality foods.

Q6: Who are Northwind's primary customers?

Answer: Specialty grocery stores, high-end supermarkets, gourmet food boutiques, hotels, and dining establishments.

Q7: What regional divisions exist within Northwind?

Answer: Northwind has three primary sales divisions: North America (NAM), Europe (EUR), and Rest of World (ROW).

Q8: Where are main warehousing hubs located?

Answer: Key international fulfillment centers are located in Seattle (USA), London (UK), and Hamburg (Germany).

Q9: Does Northwind sell directly to end-consumers (B2C)?

Answer: No, Northwind operates strictly as a B2B wholesaler and distributor.

Q10: What product categories does Northwind distribute?

Answer: Beverages, Condiments, Confections, Dairy Products, Grains/Cereals, Meat/Poultry, Produce, and Seafood.

Q11: How does Northwind select its suppliers?

Answer: Suppliers undergo quality audits, food safety compliance reviews, and must prove consistent production capacity.

Q12: Who is the Vice President of Sales?

Answer: Andrew Fuller serves as the Vice President of Sales.

Q13: Who manages customer relations at Seattle HQ?

Answer: Laura Callahan serves as the Inside Sales Coordinator at headquarters.

Q14: What shipping carriers does Northwind partner with?

Answer: Northwind partners primarily with Speedy Express, United Package, and Federal Shipping.

Q15: How does Northwind preserve food quality during transit?

Answer: Through temperature-controlled cold-chain freight packaging and priority delivery routing for perishable goods.

Q16: What database management system stores Northwind data?

Answer: Northwind uses a relational SQL database structure consisting of 13 interconnected tables.

Q17: What is the primary key of the Customers table?

Answer: The primary key is CustomerID, a 5-character unique string code.

Q18: How are orders linked to specific customers?

Answer: The Orders table contains a foreign key CustomerID referencing Customers(CustomerID).

Q19: Which table stores individual items included in an order?

Answer: The Order Details table stores individual line items for each order.

Q20: What composite primary key is used in Order Details?

Answer: The Order Details table uses a composite primary key consisting of (OrderID, ProductID).

Q21: How is manager hierarchy represented in the Employees table?

Answer: The Employees table includes a self-referencing foreign key column named ReportsTo.

Q22: What table links Employees to geographic territories?

Answer: The EmployeeTerritories junction table maps EmployeeID to TerritoryID.

Q23: Which table defines broader geographic regions?

Answer: The Region table, which connects to Territories via RegionID.

Q24: How is product pricing tracked when unit prices change over time?

Answer: The actual price charged is recorded in Order Details.UnitPrice at the time of purchase, independent of Products.UnitPrice.

Q25: What data column indicates if a product is no longer active?

Answer: The Discontinued column in the Products table (boolean/bit: 1 for discontinued, 0 for active).

Q26: How does the database track remaining product inventory?

Answer: The Products.UnitsInStock column records current physical warehouse inventory.

Q27: What field indicates incoming inventory from suppliers?

Answer: The Products.UnitsOnOrder column tracks stock currently in transit from vendors.

Q28: What column triggers automated stock replenishment?

Answer: The Products.ReorderLevel field sets the threshold for generating new purchase orders.

Q29: Which table contains freight carrier information?

Answer: The Shippers table, containing ShipperID, CompanyName, and Phone.

Q30: How is shipping choice linked to customer orders?

Answer: The Orders.ShipVia foreign key references Shippers(ShipperID).

Q31: What is the data type of CustomerID in Northwind?

Answer: It is an NChar(5) string code (e.g., 'ALFKI').

Q32: What table links products to their suppliers?

Answer: The Products table contains a SupplierID foreign key referencing Suppliers(SupplierID).

Q33: What table categorizes products?

Answer: The Products table contains a CategoryID foreign key referencing Categories(CategoryID).

Q34: Can an employee be assigned to multiple territories?

Answer: Yes, through the EmployeeTerritories junction table which supports a many-to-many relationship.

Q35: Why shouldn't discontinued products be deleted from the database?

Answer: Deleting discontinued products would break referential integrity for historical orders in Order Details.

Q36: What is the minimum discount applied to standard wholesale orders?

Answer: Tier 0 standard orders (under 50 units) receive 0.0% discount.

Q37: What discount applies to orders of 50 to 99 units?

Answer: Tier 1 volume orders receive a 5.0% discount.

Q38: What discount applies to commercial orders between 100 and 249 units?

Answer: Tier 2 commercial orders receive a 10.0% discount.

Q39: What is the maximum standard discount for Enterprise orders?

Answer: Enterprise orders (250+ units) can receive between 15.0% and 25.0% discount.

Q40: Who must approve line-item discounts exceeding 15%?

Answer: Discounts over 15% require sign-off approval from the VP of Sales.

Q41: Can inside sales representatives approve 10% discounts?

Answer: No, inside sales reps can approve up to Tier 1 (5%). Tier 2 (10%) requires a Senior Sales Rep.

Q42: How are shipping freight charges billed?

Answer: Freight costs are calculated based on weight, volume, and destination, and added to the order invoice.

Q43: What triggers an automated credit hold on a customer order?

Answer: An order is placed on hold if the customer account is >30 days past due or exceeds its credit limit.

Q44: How quickly are order details entered into the system after sales booking?

Answer: Sales representatives must enter order details within 2 hours of booking.

Q45: What happens when an order exceeds a customer's available credit?

Answer: The order is flagged with a Credit Hold status until reviewed and cleared by Finance.

Q46: When does title and risk of loss pass to the customer?

Answer: Title transfers at FOB Shipping Point upon handover to the freight carrier.

Q47: Are custom-imported orders eligible for standard volume discounts?

Answer: No, custom import orders undergo separate pricing quotes negotiated with procurement.

Q48: What currency are primary catalog prices quoted in?

Answer: Catalog prices are quoted in USD (\$), with local currency invoicing available for European accounts.

Q49: Where can customers view applied line-item discounts?

Answer: Discounts are explicitly itemized on customer invoices under the Discount column.

Q50: What is the order placement deadline for same-day warehouse processing?

Answer: Orders must be approved by 14:00 (2:00 PM) EST for same-day picking.

Q51: What is the standard domestic delivery target time?

Answer: Standard domestic shipping takes approximately 3 business days.

Q52: What is the standard delivery timeframe for international orders?

Answer: International shipping targets 5 to 7 business days.

Q53: Why are cold-chain perishable goods restricted from Friday dispatches?

Answer: To prevent shipments from sitting in non-refrigerated transit depots over weekends.

Q54: How is inventory stock rotated in warehouses?

Answer: Warehouses enforce First-In, First-Out (FIFO) stock rotation policies.

Q55: When is a product automatically reordered from a supplier?

Answer: When total available inventory (UnitsInStock + UnitsOnOrder) falls to or below the ReorderLevel.

Q56: What target stock level does automated inventory replenishment aim for?

Answer: Replenishment orders buffer enough stock to cover 60 days of anticipated demand.

Q57: What warehouse picking accuracy rate is required?

Answer: Warehouse staff must maintain a minimum 99.5% picking accuracy rate.

Q58: What happens to existing warehouse stock when a product is discontinued?

Answer: Existing stock is cleared out through discounted sales until inventory reaches zero.

Q59: What freight carriers does Northwind use for standard land delivery?

Answer: Speedy Express and United Package handling ground delivery routes.

Q60: What freight provider handles priority international air freight?

Answer: Federal Shipping handles expedited and international transport.

Q61: How are damaged goods handled upon receipt?

Answer: Clients must report transit damage within 48 hours with packaging photo documentation.

Q62: Within how many days must quality claims for spoiled food be submitted?

Answer: Quality assurance returns or claims must be submitted within 10 business days.

Q63: Are opened perishable food items eligible for physical return?

Answer: No, open perishable items cannot be physically returned due to food safety regulations.

Q64: How are validated quality claims compensated?

Answer: Validated claims receive a Credit Memo applied to the customer's account balance.

Q65: Who conducts physical inventory count audits?

Answer: Logistics warehouse teams conduct monthly physical inventory audits to reconcile database stock counts.

Q66: How is Revenue calculated in Northwind BI reports?

Answer: Revenue = SUM(UnitPrice * Quantity * (1 - Discount)) across all fulfilled order line items.

Q67: What is Gross Margin Percentage?

Answer: Gross Margin % = ((Total Revenue - Cost of Goods Sold) / Total Revenue) * 100.

Q68: How is Average Order Size (AOS) defined?

Answer: AOS = Total Net Revenue divided by total count of fulfilled orders over a given period.

Q69: What metric measures customer invoice collection efficiency?

Answer: Days Sales Outstanding (DSO) measures average days taken to collect payment after a sale.

Q70: What is Inventory Turnover Rate?

Answer: Inventory Turnover = Cost of Goods Sold (COGS) divided by Average Inventory Value.

Q71: What does Customer Lifetime Value (CLV) represent?

Answer: CLV is the total net profit attributed to the entire ongoing relationship with a customer account.

Q72: How is Lead Time defined in Northwind operations?

Answer: Lead Time is the time elapsed from purchase order issuance to warehouse stock receipt.

Q73: What is the purpose of the BI Glossary document?

Answer: To establish standard definitions and formulas for corporate analytical reporting.

Q74: What KPI tracks carrier logistics performance?

Answer: On-Time Delivery Percentage (target >95%).

Q75: What KPI measures customer satisfaction after issue resolution?

Answer: CSAT (Customer Satisfaction) Score (target >92%).

Q76: What calculation determines Line Item Total?

Answer: Line Total = Quantity * UnitPrice * (1 - Discount).

Q77: How does discounting impact Gross Margin?

Answer: Higher discounts reduce Net Revenue without changing COGS, directly lowering Gross Margin dollars and percentage.

Q78: What is the difference between Gross Revenue and Net Revenue?

Answer: Gross Revenue is total sales before discounts; Net Revenue subtracts applied line discounts.

Q79: What is COGS?

Answer: Cost of Goods Sold: the direct wholesale procurement cost paid to suppliers for sold inventory.

Q80: What is a Dimension table in BI modeling?

Answer: A descriptive lookup table (e.g., Customers, Products) used to filter and group quantitative metrics.

Q81: What is a Fact table in Northwind BI reporting?

Answer: A numerical transaction table containing business metrics (e.g., Order Details storing quantities and prices).

Q82: What KPI measures sales representative quota achievement?

Answer: Percentage of Sales Quota Attained = (Actual Sales Revenue / Target Sales Quota) * 100.

Q83: What constitutes an Active Account in BI reports?

Answer: A customer account that has placed at least one fulfilled order within the trailing 12 months.

Q84: How is Supplier Lead Time Variance measured?

Answer: Variance = Actual Delivery Date minus Promised Supplier Delivery Date.

Q85: What is the enterprise target for First-Contact Resolution in customer support?

Answer: Customer Support aims to resolve at least 85% of client inquiries on initial contact.
